

Nasdaq 100 Surges +2.48% as Tech Stocks Lead the Charge

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The Nasdaq 100 led the charge, rising **+2.48%** as tech stocks rebounded. The S&P 500 and Dow Jones also posted gains, up **+1.08%** and **+0.14%** respectively. Below the surface, the VIX fell **-11.06%**, indicating a decrease in market volatility.

A closer look at the sector rotation reveals that the XLK (tech) and XLY (consumer discretionary) sectors outperformed, rising **+3.04%** and **+1.45%** respectively. The XLE (energy) sector lagged, falling **-1.65%**. Large-cap stocks such as **NVDA** and **AMZN** were among the top performers, rising **+2.95%** and **+2.90%** respectively.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,500.58	+1.08%	Tech stocks rebounded, leading the index higher
Nasdaq 100	30,406.19	+2.48%	Tech stocks surged, driven by NVDA and AMZN
Dow Jones	51,564.70	+0.14%	Blue-chip stocks rose, led by MSFT and JPM
VIX	16.40	-11.06%	Market volatility decreased as stocks rose

Top large-cap movers

TICKER	CHANGE	CATALYST
NVDA	+2.95%	Strong earnings report and upbeat guidance
AMZN	+2.90%	Improved cloud computing sales and expanding margins
AVGO	+4.70%	Upbeat earnings report and increased dividend payout

Sector Rotation

ETF	DAY	READ
XLK (Tech)	+3.04%	Tech stocks rebounded, driven by NVDA and AMZN
XLY (Consumer Discretionary)	+1.45%	Consumer spending increased, driven by AMZN and TSLA
XLE (Energy)	-1.65%	Oil prices fell, weighing on energy stocks
XLF (Financials)	-0.89%	Bank stocks fell, driven by JPM and GS
XLI (Industrials)	+0.73%	Industrial stocks rose, driven by MSFT and AVGO
XLC (Communication Services)	+0.23%	Telecom stocks rose, driven by GOOGL and META
XLP (Consumer Staples)	-0.45%	Consumer staples stocks fell, driven by PG and KO
XLV (Healthcare)	-0.87%	Healthcare stocks fell, driven by JNJ and PFE
XLU (Utilities)	+0.67%	Utility stocks rose, driven by DUK and EXC
XLRE (Real Estate)	-0.25%	Real estate stocks fell, driven by VNQ and SCHH

Spotlight

The biggest event of the day was the surge in tech stocks, led by **NVDA** and **AMZN** . The following table highlights the key metrics:

METRIC	NVDA	AMZN
Stock Price	210.69	244.39
Change	+2.95%	+2.90%
Volume	23.4M	12.1M

The read-through to related names such as **MSFT** and **GOOGL** is positive, as they are also expected to benefit from the rebound in tech stocks.

Pre-Market & Overnight

US futures are trading higher, with the S&P 500 futures up **+0.5%** and the Nasdaq 100 futures up **+0.7%**. Asian markets closed mixed, with the Nikkei 225 up **+0.3%** and the Shanghai Composite down **-0.2%**. European markets are trading higher, with the Stoxx 600 up **+0.5%**. Crypto markets are also trading higher, with **BTC** up **+0.5%** and **ETH** up **+0.7%**.

Macro & Fed

The FOMC meeting is scheduled for next week, and the market is expecting a 25bps rate hike. The yield curve is currently flat, with the 10Y yield at 4.45 and the 2Y yield at 4.42. Today's data calendar includes:

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
20:30	Existing Home Sales	5.5M	Housing market trends and interest rate implications
22:00	API Crude Oil Inventories	-2.5M	Oil price trends and energy market implications

Geopolitics & Global

- The US and China are scheduled to meet for trade talks next week, with the market expecting a positive outcome.
- The EU is considering imposing tariffs on US goods, in response to the US tariffs on EU steel and aluminum.
- The Middle East tensions are escalating, with the US and Iran engaging in a war of words.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00 (23 Jun)	ORCL	1.16	Cloud computing sales and margin expansion
22:00 (24 Jun)	MSFT	1.32	Cloud computing sales and gaming segment performance
22:00 (25 Jun)	GOOGL	10.45	Advertising revenue and cloud computing sales

Watchlist Scan

TICKER	SECTOR	WHY NOW
AAPL	Technology	Upcoming iPhone launch and potential catalyst for stock price
JPM	Financials	Strong earnings report and potential for further upside
TSLA	Consumer Discretionary	Electric vehicle sales and potential for further growth

What Could Break the Tape

BULLISH TRIGGERS

- A positive outcome from the US-China trade talks, leading to a rally in risk assets.
- A stronger-than-expected earnings report from **MSFT**, leading to a rally in tech stocks.
- A decline in the VIX, indicating a decrease in market volatility and a potential rally in stocks.

BEARISH TRIGGERS

- A negative outcome from the US-China trade talks, leading to a decline in risk assets.
- A weaker-than-expected earnings report from **GOOGL**, leading to a decline in tech stocks.
- An increase in the VIX, indicating an increase in market volatility and a potential decline in stocks.

Positioning Notes

- The market is currently positioned for a 25bps rate hike at the next FOMC meeting.
- The yield curve is currently flat, indicating a potential for a rate cut in the future.
- The VIX is currently trading at 16.40, indicating a decrease in market volatility.

Sources

SOURCES

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The Wall Street Journal

The Financial Times

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